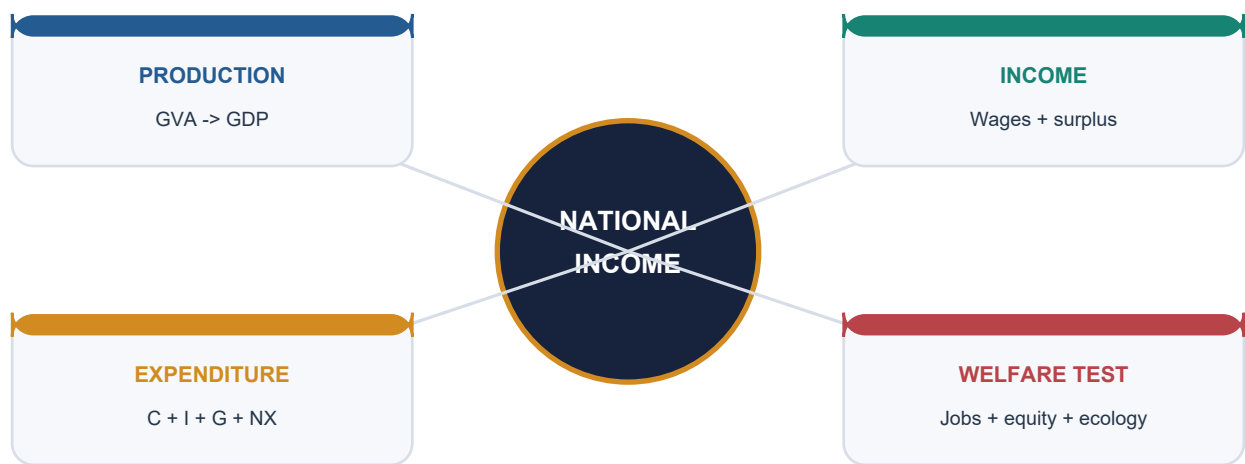


SOLVED PRACTICE WORKBOOK

National Income: GDP, GVA, GNP, NDP and Measurement - Solved Practice Workbook

Economy | GS-III and Prelims | Foundation to advanced | Concepts, worked examples, traps, current linkage and answer writing



Deterministic fallback visual: national income viewed through production, income, expenditure and welfare lenses.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

National Income: GDP, GVA, GNP, NDP and Measurement - Complete Topic Package

Solved topic-specific MCQs

Q1. Which statement correctly resolves the claim that every market transaction raises current GDP?

- A. Resale of an old asset does not.
- B. Every market transaction raises current GDP.
- C. A pension payment directly adds to GDP.
- D. Higher nominal GDP always means more output.

Answer: A Explanation: GDP records current production. Reselling an existing house or machine merely transfers ownership; only a current service such as brokerage is included.

Q2. Why does a pension payment not directly add to current GDP?

- A. A pension payment directly adds to GDP.
- B. It is a transfer payment.
- C. Higher nominal GDP always means more output.
- D. GDP measures national welfare.

Answer: B Explanation: A pension redistributes purchasing power without receiving a currently produced good or service in exchange. Any later consumption financed by that pension enters GDP through the purchased output.

Q3. Nominal GDP increases by 10% while the relevant price level increases by 7%. Which conclusion is most appropriate?

- A. Higher nominal GDP always means more output.
- B. GDP measures national welfare.
- C. It may reflect inflation.
- D. GNP must always exceed GDP.

Answer: C Explanation: Nominal GDP combines price and volume changes. The data are consistent with only a modest increase in real output; a deflator is needed before interpreting the rise as production growth.

Q4. Which statement best describes the relationship between GDP and welfare?

- A. GDP measures national welfare.
- B. GNP must always exceed GDP.
- C. NFIA equals all remittances.
- D. GDP measures production but not distribution, unpaid work or ecological loss.

Answer: D Explanation: GDP is a production aggregate. Welfare analysis requires additional information on income distribution, employment, capabilities, unpaid care, safety and environmental sustainability.

Q5. When can GDP exceed GNP?

- A. It depends on the sign of NFIA.
- B. GNP must always exceed GDP.
- C. NFIA equals all remittances.
- D. GVA at basic prices already includes product taxes.

Answer: A Explanation: $GNP = GDP + NFIA$. When factor income paid abroad exceeds factor income received from abroad, NFIA is negative and GNP is below GDP.

Q6. Why should inward personal remittances not automatically be added as NFIA?

- A. NFIA equals all remittances.
- B. Personal transfers and primary income differ.
- C. GVA at basic prices already includes product taxes.
- D. GDP deflator includes imported production.

Answer: B Explanation: NFIA concerns primary or factor income associated with labour and capital. Personal transfers are recorded separately in external accounts and cannot all be treated as compensation or property income.

Q7. Which adjustment converts GVA at basic prices into GDP at market prices?

- A. GVA at basic prices already includes product taxes.
- B. GDP deflator includes imported production.
- C. Add product taxes and subtract product subsidies.
- D. Every market transaction raises current GDP.

Answer: C Explanation: The purchaser's market price includes product taxes and is reduced by product subsidies. Therefore, $GDP \text{ at market prices} = GVA \text{ at basic prices} + \text{product taxes} - \text{product subsidies}$.

Q8. Why does the GDP deflator exclude imported production?

- A. GDP deflator includes imported production.
- B. Every market transaction raises current GDP.
- C. A pension payment directly adds to GDP.
- D. It covers domestic output.

Answer: D Explanation: The GDP deflator is derived from nominal and real GDP, both of which measure domestically produced final output. Imported goods can enter the CPI basket but are not domestic production.

Q9. A farmer sells wheat for 20, a miller sells flour for 35, and a baker sells bread to consumers for 50. What is the contribution to GDP?

- A. 50, equal to final output or the sum of value added.
- B. 105, equal to all recorded sales.
- C. 85, after removing the farmer's sale.
- D. 15, equal only to the baker's value added.

Answer: A Explanation: Counting all sales would count intermediate wheat and flour again. GDP is either the final bread value of 50 or value added of $20 + 15 + 15 = 50$.

Q10. Which change directly converts a gross aggregate into its corresponding net aggregate?

- A. Add NFIA.
- B. Subtract consumption of fixed capital.
- C. Subtract imports.
- D. Add product taxes.

Answer: B Explanation: Gross measures include depreciation. Deducting consumption of fixed capital gives the corresponding net measure, such as GDP to NDP.

Q11. A large unintended accumulation of inventories can indicate:

- A. Strong household welfare by definition.
- B. A rise in NFIA.
- C. Production exceeding realised demand.
- D. A fall in nominal GDP by definition.

Answer: C Explanation: Inventory accumulation enters investment, but unintended stocks may signal that firms produced more than consumers purchased. Interpretation therefore requires demand and business-cycle context.

Q12. Which combination is best for judging whether GDP growth is inclusive and sustainable?

- A. GDP growth alone.
- B. Nominal GDP and the exchange rate alone.
- C. GDP deflator and WPI alone.
- D. Real per-capita output with employment, distribution, human-development and environmental indicators.

Answer: D Explanation: GDP supplies the production anchor, while the accompanying indicators test whether growth improved livelihoods, capabilities and future productive capacity.

Solved answer-writing practice

10 marks — Explain the central distinctions among GDP, GVA, GNP and NDP. Answer in 150 words.

Model solution

National-income aggregates differ by production boundary, income ownership, capital consumption and valuation.

- **GDP** measures final output produced within domestic territory.
- **GVA** measures producer value added: output minus intermediate consumption.

GDP at market prices is obtained by adding product taxes and subtracting product subsidies from GVA at basic prices.

- **GNP** shifts from territory to normal residents by adding net factor income from abroad to GDP.

- **NDP** deducts depreciation from GDP and therefore indicates output net of fixed-capital consumption.

The distinctions prevent analytical errors. GDP and GVA may grow differently when net product taxes change; GDP may exceed GNP when NFIA is negative; and a gross measure can overstate the output available after replacing worn-out capital. Thus, UPSC answers should identify whether the question concerns location, residence, valuation or depreciation before selecting an aggregate.

15 marks — Explain the three methods of measuring national income and the practical reasons for statistical discrepancy. Answer in 250 words.

Model solution

National income can be measured through production, income and expenditure because each method observes the same circular flow from a different side.

Production method: It sums value added across activities. Intermediate consumption is deducted from output to avoid double counting. It is especially useful for sectoral GVA, but informal production and suitable deflators are difficult to estimate.

Income method: It sums compensation of employees, operating surplus, mixed income and relevant production income. It shows how value added is distributed among factors, but under-reporting and mixed household-enterprise accounts create measurement problems.

Expenditure method: It adds private and government final consumption, capital formation, inventory change and net exports. Imports are subtracted because some domestic expenditure purchases foreign output.

The three estimates should theoretically converge: final expenditure purchases produced output, and the value added becomes income. In practice, they use different surveys, tax records, company filings, price indices and reporting periods. Informal activity, revisions, inventory valuation and timing differences produce a statistical discrepancy.

India should reduce—not conceal—the discrepancy through better enterprise and household surveys, integrated administrative data, supply-use tables, transparent revision schedules and stronger state statistical capacity.

20 marks — “GDP growth is necessary but insufficient for judging development.” Critically examine. Answer in 300 words.

Model solution

GDP growth remains necessary because it measures the expansion of domestic production. Sustained real growth enlarges employment possibilities, tax capacity, infrastructure financing and the resources available for welfare. Sectoral GVA also reveals structural transformation, while per-capita output adjusts aggregate growth for population.

However, GDP is insufficient as a development measure.

1. **Distribution:** Aggregate output can rise while income and wealth gains remain concentrated.
2. **Employment:** Capital-intensive growth may produce limited or insecure jobs.
3. **Non-market work:** Unpaid care and household work remain outside the conventional production boundary.
4. **Human capabilities:** GDP does not directly measure health, learning, nutrition, safety or agency.
5. **Environment:** Resource depletion and pollution can accompany current output, while defensive or reconstruction expenditure may raise GDP.
6. **Quality and informality:** Rapid digital change, informal activity and service quality are difficult to capture precisely.

Yet replacing GDP with a single “happiness” measure would also be inadequate. Production must still be measured consistently for fiscal, monetary and business-cycle policy. The appropriate approach is a dashboard: real per-capita GDP and sectoral GVA alongside employment, consumption distribution, HDI/IHDI, MPI, gender indicators and environmental or natural-capital accounts.

Therefore, GDP should be treated as the economy’s production anchor—not as a complete social report card. Development policy succeeds when higher output is converted into broad capabilities, decent work and sustainable wealth.

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